

26SMCV01279 26SMCV01279

County: los-angeles

Division: Civil Law and Motion

Department: 207

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TENTATIVE

RULING

DEPARTMENT

207

HEARING DATE

September

14, 2026

CASE NUMBER

26SMCV01279

MOTION

Motion

to Compel Arbitration

MOVING PARTY

Defendant

Mercedes-Benz USA, LLC

OPPOSING PARTY

Plaintiff

Esther Azizlavi

MOTION

This case arises from allegations that Defendant leased a faulty vehicle to Plaintiff and failed to repair or replace it.

On March 11, 2026, Plaintiff Esther Azizlavi ("Plaintiff") filed suit against Defendant Mercedes-Benz USA, LLC ("Mercedes" or "Defendant") alleging violations of the Song-Beverly Act.

Defendant Mercedes now moves to compel Plaintiff's claims to arbitration and to stay the action pending the outcome of arbitration proceedings. Plaintiff opposes the motion and Mercedes replies.

REQUEST FOR JUDICIAL NOTICE

Plaintiff requests judicial notice
of the following:

1. The Appellate Court's Opinion, in Martha Ochoa v. Ford Motor Company (2023) 89 Cal.App.5th 1324, affirming the Trial Court's Order denying Defendant Ford Motor Company's Motion to Compel Arbitration is attached hereto as Exhibit 1.
2. Minerva Gutierrez v. Mercedes-Benz USA, LLC, LASC No. 26PSCV00988 (Hon. Benjamin Hernández-Stern, West Covina, Dept. 1) is attached hereto as Exhibit 2.

Judicial notice may be taken
of records of any court in this state and of "official acts" of the judicial departments of any state of the United States.
(Evid. Code, § 452, subd. (c) & (d)(1).) Because the above decisions are both court records within this state and "official acts" of the judicial departments of this, the Court may take judicial notice of them. However, "while courts are free to take judicial notice of the existence of each document in a court file, including the truth of results reached, they may not take judicial notice of the truth of hearsay statements in decisions and court files. Courts may not take judicial notice of

allegations in affidavits, declarations and probation reports in court records because such matters are reasonably subject to dispute and therefore require formal proof.” (Lockley v. Law Office of Cantrell, Green, Pekich, Cruz & McCort (2001) 91 Cal.App.4th 875, 882 [cleaned up].)

Accordingly, the Court takes judicial notice of the existence and legal consequences of the above documents as court records and “official acts,” but not the truth of the allegations or other hearsay statements contained therein.

LEGAL

STANDARDS – MOTION TO COMPEL ARBITRATION

“[T]he advantages of arbitration include a presumptively less costly, more expeditious manner of resolving disputes. It follows a party to a valid arbitration agreement has a contractual right to have its dispute with another party to the contract resolved quickly and inexpensively.” (Henry v. Alcove Investment, Inc. (1991) 233 Cal.App.3d 94, 99–100 [cleaned up].)

Thus, “on petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate that controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists.” (Code Civ. Proc., § 1281.2; see also

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Capital Partners v. Pless (2007) 150 Cal.App.4th 1311, 1320 [the language in section 1281.2 compelling arbitration is mandatory].) The right to compel arbitration exists unless the court finds that the right has been waived by a party’s conduct, other grounds exist for revocation of the agreement, or where a pending court action arising out of the same transaction creates the possibility of conflicting rulings on a common issue of law or fact. (Code Civ. Proc., § 1281.2, subds. (a)-(c).)

“On a petition to compel arbitration, the trial court must first determine whether an agreement to arbitrate the controversy exists.

Because the existence of the agreement is a statutory prerequisite to granting the petition, the petitioner bears the burden of proving its existence

by a preponderance of the evidence. The party seeking arbitration can meet its initial burden by attaching to the petition a copy of the arbitration agreement purporting to bear the respondent's signature." (Bannister v. Marinidence Opco, LLC (2021) 64 Cal.App.5th 541, 543-544 [cleaned up].) The party seeking to compel arbitration must also "plead and prove a prior demand for arbitration and a refusal to arbitrate under the agreement." (Mansouri v. Superior Court (2010) 181 Cal.App.4th 633, 640-641.)

And while the moving party on a motion to compel arbitration "bears the burden of proving the existence of a valid arbitration agreement by a preponderance of the evidence, [a] party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. The trial court sits as the trier of fact, weighing all the affidavits, declarations, and other documentary evidence, and any oral testimony the court may receive at its discretion, to reach a final determination." (Ruiz v. Moss Bros. Auto Group, Inc. (2014) 232 Cal.App.4th 836, 842 [cleaned up]; see also Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC (2012) 55 Cal.4th 223, 236 ["The party seeking arbitration bears the burden of proving the existence of an arbitration agreement, and the party opposing arbitration bears the burden of proving any defense, such as unconscionability"].)

ANALYSIS

In support of the motion, Mercedes advances the Lease Agreement between Plaintiff as Lessee and "Mercedes Benz of Beverly Hills" as Lessor. The Lease Agreement defines "we," "us," and "our," as referring to Mercedes Benz of Beverly Hills as lessor and, after the lease is assigned, to Mercedes-Benz Vehicle Trust, or its successors and assigns. (Ex. 1 to Leung Decl. at p. 1.)

Page 4 of the Lease contains the following arbitration provision:

Any claim or dispute, whether in contract, tort or otherwise (including any dispute over the interpretation, scope, or validity of this lease, arbitration section or the arbitrability of any issue), between

you and us or any of Our employees, agents, successors, assigns, or the vehicle distributor, including Mercedes Benz USA LLC (each a “Third Party Beneficiary”), which arises out of or relates to a credit application, this lease, or any resulting transaction or relationship arising out of this lease (including any such relationship with third parties who do not sign this contract) shall, at the election of either you, us, or a Third Party Beneficiary, be resolved by a neutral, binding arbitration and not by a court action. Any claim or dispute is to be arbitrated on an individual basis and not as a class action. The arbitration shall be administered by the American Arbitration Association, or by any other organization that you may choose, subject to our or a Third Party Beneficiary’s approval. You may get a copy of the rules of the American Arbitration Association by visiting its website at www.adr.org.

(Ex.

1 to Chan Decl. at p. 4 [emphasis added].)

Thus, Mercedes has demonstrated the existence of a valid and binding agreement to arbitrate which it has standing to compel as an expressly-named Third Party Beneficiary of the Lease Agreement.

In opposition, Plaintiff argues that Mercedes does not meet the “high bar” of establishing that it is a true third party beneficiary, as opposed to merely an incidental beneficiary.

To be deemed a third-party beneficiary under California law, (1) the third party must in fact benefit from the contract; (2) a motivating purpose of the contracting parties must be to provide a benefit to the third party; and (3) permitting a third party to bring its own action on the contract must be consistent with the objectives of the contract and the reasonable expectations of the contracting parties. (*Goonewardene v. ADP, LLC* (2019) 6 Cal.5th 817, 829-830.)

Plaintiff argues Mercedes cannot meet the second or third prongs. The Court disagrees. The plain language of the clause expressly

names Mercedes as a Third Party Beneficiary to the Lease Agreement for the expressly stated purpose of allowing either Plaintiff or Mercedes as a third party beneficiary to compel the other to arbitration. Thus, the express purpose of the arbitration agreement was to confer the benefit of avoiding litigation in favor of arbitration on both Plaintiff and on Mercedes.

Plaintiff cites to Ford Motor Warranty Cases (2025) 17 Cal.5th 1122, 1129-1130, where the agreement provided the right to arbitrate disputes between “you and us” arising out of or relating to relationships, including with third parties who did not sign the contract, and the court found that language insufficient to confer the right to compel arbitration on the manufacturer as an unnamed third party who did not sign the contract. But as the Court of Appeal explained: “If the signatories had intended to benefit FMC, such a purpose would have been easy to articulate. They could have simply named FMC—directly or by class as the vehicle's manufacturer—as a person entitled to compel arbitration. But they did not.” (Ford Motor Warranty Cases (2023) 89 Cal.App.5th 1324, 1339.) That is precisely what happened here. The parties expressly named Mercedes as a third-party beneficiary with the express right to compel claims (and have their claims compelled) to arbitration, thus imposing both the burden and the benefit of the arbitration agreement on Mercedes.

Plaintiff also argues that Mercedes is not a true third-party beneficiary of the lease agreement. Again, the Court disagrees. It is axiomatic that a manufacturer benefits financially from its cars being leased and/or sold, in addition to the privacy and cost-saving benefits of arbitration.[1]

CONCLUSION

For the foregoing reasons, the Court grants Mercedes' motion to compel arbitration and to stay this action pending the outcome of arbitration proceedings. As such, the Court will enter the proposed Order lodged on August 4, 2026 in conformity with the ruling.

Further, the Court vacates the Trial Readiness Conference and sets a Status Conference re Arbitration on May 26, 2027 at 8:30 A.M. in Department 207. The parties shall file a Joint Report regarding the status of the arbitration no later than 5 court days before the conference.

Mercedes shall provide notice of the Court's order and file the notice with a proof of service forthwith.

DATED: September 14, 2026 _____/s/_____

Michael
E. Whitaker

Judge
of the Superior Court

[1] Having found Mercedes entitled to compel arbitration
as an expressly named third-party beneficiary to the agreement, the Court does
not address Plaintiff's estoppel arguments.